

Components of cost

1. Prime cost
2. Factory cost
3. Office cost
4. Total cost

1. Prime cost or Direct cost = Direct material cost + Direct labour cost + Direct expenses

2. Factory cost or works cost = Prime cost + Factory expenses

3. Office cost or Manufacturing or Production cost = Factory cost + Administrative expenses

4. Total cost = Office cost + Selling expenses + Distribution expenses

Selling Price : If the profit of factory is added in the total cost of product it is called selling price.

So the customers gets the article by paying the price which is named as “ Selling Price.”

Selling Price = Total cost + Profit or Loss

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Relation between the elements of cost and components of cost is illustrated as :

Allocation of overheads (or Indirect expenses or oncost)

1 .Factory expenses

2. Administrative

3.Sales and distribution Expenses

Most of the overheads of above categories can easily be found out from records.

But some overhead charges require good knowledge and experience of the estimator. These are following :-

1. Depreciation

2. Obsolescence

3. Interest on capital

4. Idleness

5. Repair and maintenance

1. Depreciation

Efficiency and value of machine or asset reduces with the lapse of time during use, which is known as Depreciation.

So some money must be **set aside yearly from the profits**, so that when the equipment becomes uneconomical, it can be replaced by the new one.

Therefore, the **initial cost of machine + installation charges + repair charges – scrap value** is charged **against overheads** and **spread over the machine's useful life**.

For this purpose **depreciation account** is opened in the Company's books known as “Depreciation” or “Sinking Fund” and is **deducted yearly from the profit** and kept separate to have sufficient money for replacement at end of useful life.

